Rt Hon Steve Reed OBE MP
Secretary of State for Housing, Communities & Local Government
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Ministry of Housing, Communities & Local Government

Leaders in Derbyshire and Derby
By email

16 July 2026

Dear Leaders,

Thank you for your continued work to deliver local government reorganisation in Derbyshire and Derby. This Government is delivering the most ambitious programme of local government reform in a generation, replacing the inefficient two-tier system with new unitary councils so that all parts of our country can access strong services, and are ready for devolution. We need to devolve power out of Whitehall so that we can rebalance wealth, power and opportunity across our country. But devolution must be built on strong local councils that can deliver good public services, support growth, and remain closely connected to the communities they serve.

Doing this right means recognising the unique contributions that different areas make to people's lives, as well as to the national economy. Some of our smaller cities are highly productive, but have been constrained by tight boundaries, set decades ago, which stop them from building the homes they need. Others are more rural, with significant demand for social care services and affordable housing. Local government should be set up to address the unique circumstances of each area and design public services tailored to each community.

Reorganisation provides us with a once-in-a-generation opportunity to ensure that councils genuinely represent the communities they serve today and stand the test of time. We know that people care about their own villages, home towns, high streets and communities. In many parts of the country, existing boundaries do not match local economies, public services, or local identities.

We won't achieve effective devolution or enable effective place-based public services with outdated and misaligned structures that slow down delivery, fragment public services, hamper housebuilding and slow down important decision making. We need to make sure that new councils are grounded in place and are genuinely connected to their communities.

Decisions

I have considered your proposals carefully against the criteria set out in the invitation letter of 5 February last year, alongside the responses to the consultation, representations made, requests for modifications made alongside the proposals and all other relevant information.

Following this assessment, I have decided to move forward with the implementation of the **two unitary option requested by Chesterfield Borough Council, Derby City Council, Erewash Borough Council and High Peak Borough Council**. In doing so, in accordance with the

provisions of the Local Government and Public Involvement in Health Act 2007, I will exercise the power to modify the two unitary option submitted by South Derbyshire District Council to achieve the boundary change requested by Chesterfield Borough Council, Derby City Council, Erewash Borough Council and High Peak Borough Council. For ease, this is now referred to as “my selected option”.

These new councils will comprise of the current areas of:

- Bolsover District Council, Chesterfield Borough Council, Derbyshire Dales District Council, High Peak Borough Council and North-East Derbyshire District Council plus 21 parishes from Amber Valley Borough Council (referred to in the proposal as ‘Northern Derbyshire’)
- Derby City Council, Erewash Borough Council and South Derbyshire District Council plus 14 parishes from Amber Valley Borough Council (referred to in the proposal as ‘Southern Derbyshire’).

In my view, my selected option will enable a better outcome overall for the area than the unmodified proposal as described below. I want to thank you for all of the work that has gone into developing options that seek to deliver new unitary councils that will help to grow the local economy and provide better public services for the people of Derbyshire and Derby. Your ongoing collaboration will be vital to ensure that the option is implemented by April 2028 with the interests of residents at its heart.

Turning to the reasons for my decision, in my judgement, although all the other proposals met the criteria for unitary local government, I consider my selected option to be the best option overall. I note the comparative strength of this option in achieving the greatest population balance between councils, while allowing growth for the city of Derby, as well as the fact that it is supported by the greatest number of councils.

My selected option performed particularly well in the following areas:

- **Sensible geographies that are sensitive to local identity, place-based service needs, and economic areas:**
    - All proposals received sought to recognise the distinct local identities of the urban, rural, and market towns in the area. While the single unitary proposal demonstrated potential benefits from uniting the whole Derbyshire geography, I noted concerns on the size of the proposed council given it would cover a large and varied footprint. I found the options for two unitary councils, performed more strongly in building on recognisable North/South geographies within Derbyshire and more effectively reflecting sensible economic areas and geographies shaped by travel to work patterns. I also found strengths in my selected option in regard to place-based services, as it will allow services to be designed around the specific needs of these distinct places, rather than a single large unitary covering very different communities. For example, the northern unitary will be able to focus on the needs of rural areas including those in the Peak District National Park and ex-mining communities, while the southern unitary will be able to focus on the needs of Derby City and its surrounding area.
    - The two unitary options, including my selected option, enable a dual-engine growth model, with a northern unitary anchored around Chesterfield able to focus on the economic opportunities of rural areas including the Peak District National Park, such

as the aggregates industry and the visitor economy. The southern unitary would then be able to focus on economic opportunities, such as clean energy, defence and advanced manufacturing, and housing growth around Derby City, in line with the combined authority's economic priorities. The majority of the two unitary options enable the expansion of Derby City and would support growth more broadly, although I note that the two unitary proposal submitted by Amber Valley Borough Council does not provide for Derby's expansion to the north in the same way as the other two unitary options.

- **Balanced councils in terms of population and economic areas, supporting devolution structures:** While each of the two unitary options has strengths, and my judgment is finely balanced, my selected option has the advantage of creating two unitaries that are the most balanced in terms of population. I judge that, compared to the other two unitary proposals in Derbyshire, this would better give each new council a platform and appropriate tax base to deliver sustainable public services. The requested boundary changes deliver this greater balance and provide a clear benefit over the South Derbyshire District Council two unitary proposal. The balance achieved through my selected option will also better ensure that each new council will be considered an equally strong partner in this area in the context of the current devolution structures and the growth ambitions of the East Midlands Combined County Authority. I have also noted that my selected option has the support of the greatest number of councils.

I have decided to exercise my power to modify the two unitary proposal submitted by South Derbyshire, as requested by Chesterfield, Derby, Erewash and High Peak, because in my view the modified option improves alignment with travel-to-work and movement patterns and has clearer, more sensible northern and southern economic geographies centred on the urban centres of Chesterfield and Derby. I also judge the modified option will better allow communities within Amber Valley to form stronger northern or southern connections to align with those areas based on their local identities.

I acknowledge that my selected option may introduce slightly higher transition costs due to the boundary change complexity and disaggregation of services. Following careful consideration, in my view the boundary change required for the selected option is justified as it will achieve better outcomes from local government reorganisation for the area. In particular, as set out above, this option will create better balance between the unitaries in terms of population and allow for place-based services, which can in turn support an appropriate tax base, more sustainable authorities, better public services and more effective devolution, driving my assessment that there is a strong public services and financial sustainability related justification.

I considered the expected costs and benefits set out in the proposals, as well as the ability of each new council to be financially resilient. I have noted that the two unitary options may take longer to pay back the upfront costs of reorganisation based on the evidence provided compared to the single unitary. However, I judged that all the two unitary options performed similarly and I am satisfied, based on my assessment against the criteria and the evidence provided, that the selected option can deliver savings and is likely to be at least as sustainable as current structures.

Next steps

In relation to next steps, as you are aware a Structural Changes Order, which will be subject to Parliamentary approval, is required to abolish existing councils, establish new structures and make transitional arrangements. I have carefully considered the information in the proposals as well as the further representations you have made on the content of this Order.

My officials will shortly write to your Chief Executives setting out the next steps and timeline for implementation, including my initial decisions on transitional arrangements that will be included in the draft legislation. This will enable you to take forward the work needed to begin preparation for implementation, in advance of Parliamentary approval of the Order. Critically, and drawing on learning from previous rounds of reorganisation, this will include a single Implementation Team formed of officers from across the area, and elections to the new unitary councils in May 2027. For the avoidance of doubt, these elections to the new unitary councils will replace any scheduled local elections, and affected councillors will have their terms extended.

A broad support offer is in place for councils, including support to councils through our sector advisors and through funding to the Local Government Association for an enhanced support offer. We have already announced £63m in capacity funding to support the reorganisation process, and I am pleased to provide further detail today on how this funding will be allocated.

Of the £63 million capacity funding, as well as the unprecedented £900,000 transition support to each new unitary already announced, we are also committing up to £150,000 per each new unitary as supplementary funding for Leadership Capacity and Continuity in Children's Services, Adult Social Care and Public Health. This is part of a wider package of support worth up to £10m for children's services, adult social care and public health leadership, which will also fund targeted development, mentoring and peer support for current, new and aspiring leaders.

In addition, up to £1m of funding overall will be available to support the small number of areas with complex fire and rescue authority transitions.

Taken together, this means that areas undergoing local government reorganisation will receive more than £1 million per new unitary created. This is the first time reorganisation has been supported in this way and shows this Government is committed to supporting councils to get these reforms right. We will confirm details of these allocations in due course.

I look forward to continuing to work closely with you to deliver the vital improvements that reorganisation can facilitate.

I am copying this letter to your Chief Executives, MPs, the Mayor of the East Midlands Combined County Authority and the Police and Crime Commissioner for Derbyshire.

Yours sincerely,



RT HON STEVE REED OBE MP
Secretary of State for Housing, Communities and Local Government